

Considerations

It must be noted that the intrinsic value of a share can and will be different for different individuals. If, in regard to the above mentioned investment another individual (Kumar) expects a return of 16% whereas a third individual (Nair) expects a return of 25%, the intrinsic value (assuming the dividends and the sale value at the end of 3 years will remain the same will be) —

Intrinsic value for Kumar:

$$\frac{2}{1.16} + \frac{2.5}{(1.16)^2} + \frac{3+200}{(1.16)^3} = \text{Rs. } 133.63$$

Intrinsic value for Nair:

$$\frac{2}{1.25} + \frac{2.5}{(1.25)^2} + \frac{3+200}{(1.25)^3} = \text{Rs. } 107.14$$

Thus if the market price is Rs. 120.88, the first individual (let us call him Siddharth) will hold onto the share whereas Nair would sell the share and Kumar would purchase it. In short, the intrinsic value of a share will vary from individual to individual and will be dependant both on that individual's ability to bear risks and the return that individual expects.

It is prudent and logical to remove this anomaly. The return expected should be the return one can expect from an alternate, reasonably safe investment in that market. This rate should be bolstered by a risk factor as the return is greater from riskier investments. A very safe investment (blue chip) will have a risk rate of 0. A mature near blue chip share will have a risk rate of 1. A growing company will have a risk rate of 2. A risky new company will have a risk rate of 3. If it is assumed that the return one can expect from a reasonably safe investment (an investment say with the Unit Trust of India) is 16%, and the dividend expected is Rs. 2 in the first year, Rs. 2.5 in the second year and Rs. 3 in the third year and the anticipated sale price is expected to be Rs. 200, the intrinsic value of the share of the company will be as follows depending on its financial strength and stage of growth: